

Many people in serious relationships do decide, though, to open joint accounts both for the sake of convenience and to ensure that their partner has their money if anything happens to them. But this can be very tricky. Having a **joint account** with what is known as the **right of convenience** does not entitle one person to inherit all the money that's in it if the other dies. Having a joint account with what is known as the **right of survivorship**, however, does. Yet it still doesn't provide total protection for the surviving partner; parents and other family members can challenge the arrangement in court, especially if there isn't a marriage license or will.

Even if you're married, you and your spouse should discuss the joint account question. If you favor separate accounts but your spouse wants a joint one, there's a way to compromise: Consider putting a certain percentage of each paycheck into separate accounts and keeping the rest in a joint savings account. This way you'll have the freedom to spend some of your money independently. You should also discuss what will happen in case of death. In some states your parents would split your assets with your spouse if you die without leaving a will.

If you and your spouse decide to have a joint account, you're going to need to develop a system for managing it so that you can avoid penalty fees—with two people writing checks, it can get complicated.

One person should assume responsibility for the account and keep track of the balance. You might want to keep a box or a folder in a commonly used area (maybe where you drop the mail) where you can stick both debit receipts and ATM slips. If you use a checkbook, get one with carbon copies. Whoever monitors the account can go through the paperwork every week or so to make sure everything's in order. It's also a good idea to set a price limit for individual purchases and agree that you won't buy anything over that amount without consulting the other person.



A WARNING ABOUT BANK-SOLD INVESTMENTS

Banks used to offer only savings options—savings accounts, MMAs, and CDs—all of which are federally insured. Today many banks also offer a wider array of investment choices, including mutual funds. Although you'll learn everything you ever wanted to know about mutual funds in Chapter 5, I want to mention something right away: Mutual funds, even those sold in